

Global Market Portfolio 2025

A portfolio of everything

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What the Global Market Portfolio can tell us

The Global Market Portfolio (GMP), a portfolio of all risky assets proportionally weighted by their market capitalization, continues to be a solid way for institutional investors to view the broad and growing slate of asset classes available in the marketplace. The GMP continues to show diversifying properties, as it holds all asset classes and therefore diversifies away all risk—except systematic.

However, the biggest diversifiers and the highest sources of alpha in the portfolio have shifted significantly in recent years. The changing composition of the GMP reflects the evolving global investment landscape, the shifting of investor preferences, and the growing accessibility of diverse asset classes.

As of March 2025, the size of the GMP has reached an all-time high, showing that investors are putting more and more capital to work. Investors could be well served by using the GMP to re-evaluate which asset classes provide alpha, how certain risk premia can be harnessed, and which assets can be relied on for diversification to traditional equities.

Constructing the GMP

We define the GMP as the aggregate of all investable capital assets. This equals the total investable market value of all these assets. The portfolio weight of an asset is determined by dividing the asset's market value by the total market value of all assets within the portfolio.

Our investable asset framework tracks the GMP over time. We present its capital market values in US dollars and weightings as of March 2025, along with expected risk–return profiles for various horizons. Additionally, we analyze each asset class's contribution to the GMP's risk (variance), and highlight its diversification benefits.

What's in the GMP?

The GMP provides exposure to a broad set of global asset classes and market factors, in particular equity risk premia, interest rate term premia, credit risk premia and, to a lesser extent, liquidity risk premia through the existence of less liquid assets. We acknowledge the strategic importance of cash and short-term money-market securities, but we deliberately exclude such assets from our framework to focus on assets that are expected to deliver risk premia over a risk-free asset such as cash.

In our framework, we use broad indexes to obtain the invested market capitalizations for different asset classes. However, we exclude cash (as highlighted above), and we remove commodities that are typically transformed and processed within their specific value chain—usually by companies that have issued equity and fixed income securities.

We have decided to include gold within this portfolio because a significant portion of gold is held as a store of value.¹ Indeed, we are interested in gold that central banks, sovereign wealth funds, institutions, and individual investors treat as a store of value and own for reserves and other strategic reasons.

Recent changes

Over the years, we have refined our framework as we have covered more markets and sub-asset classes. This year, we broadened our Middle East capital markets coverage due to the region's growing importance as both a capital source and investment destination. We also added a special focus on gold.

Insights into investor preferences

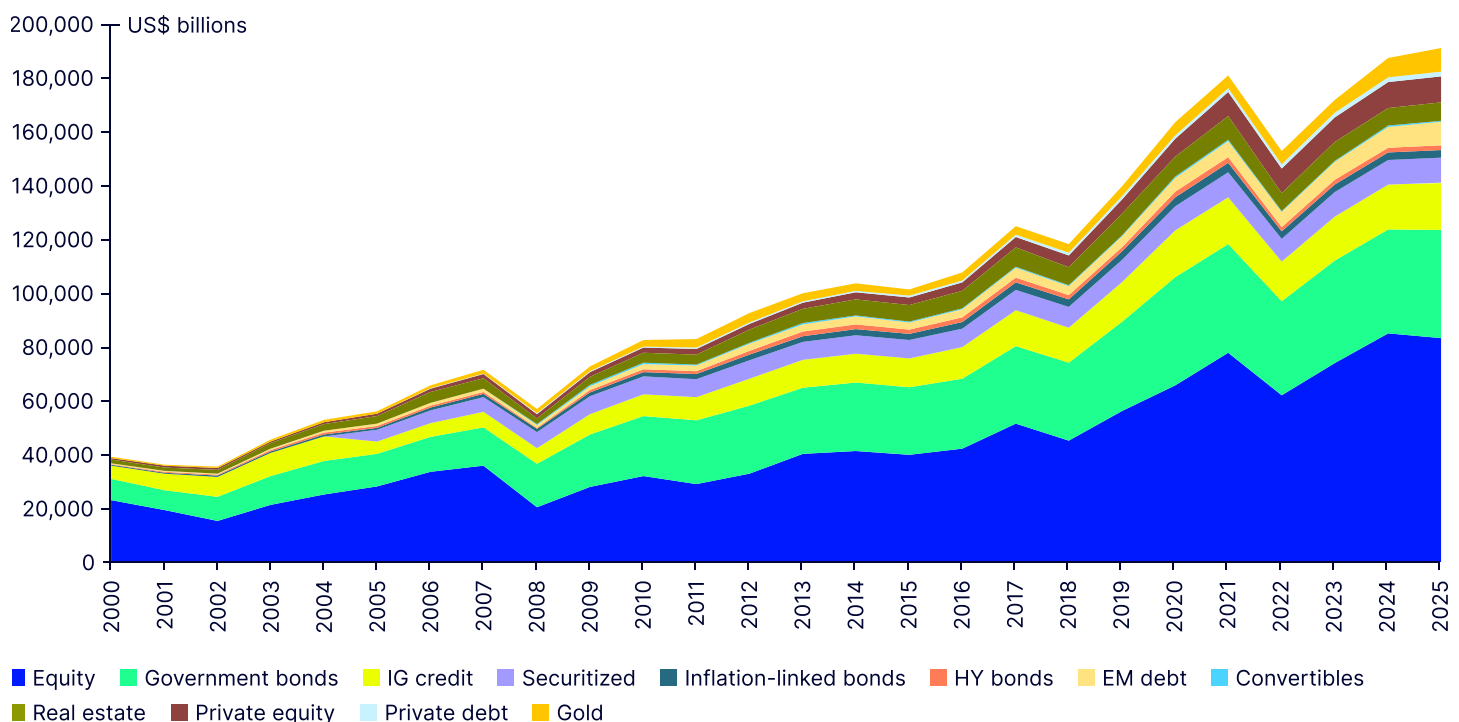
As the sum of all holdings from the collective decisions of investors, issuers, suppliers, and demanders of capital, the GMP can be seen as a de facto proxy for the investable opportunity available to all investors globally. It also represents the positioning of investors in aggregate, and reveals insights into their attitudes and preferences. The GMP could be considered as a natural benchmark for investors' strategic asset allocations—much more diversified and theoretically sound than the iconic 60/40 equity–bond benchmark.

Taking advantage of higher expected returns

After very favorable market conditions in 2024, the market value of the GMP had reached an all-time high of roughly USD 191 trillion as of March 2025—an increase of 240% from 2005 (Figure 1). This is true even though the global economy headed into 2025 with several headwinds; US tariffs and increasing geopolitical risks led to uncertainties, which have started to slow down economic activity. Global inflation may fall, but stagflation remains a risk. Meanwhile, innovation and major investments in AI, defense, and healthcare have significantly shaped the investment landscape in recent years.

As always, investors want to get the most out of their portfolios. Questions related to which asset classes should be considered for the long term, what are their respective risks and merits, and how they can be combined efficiently continue to be top of mind.

Figure 1: The GMP has swelled with increasing demand and higher asset prices



Source: Thompson Reuters, Bloomberg, PreQin, World Gold Council, State Street Investment Management. As of 31 March 2025.

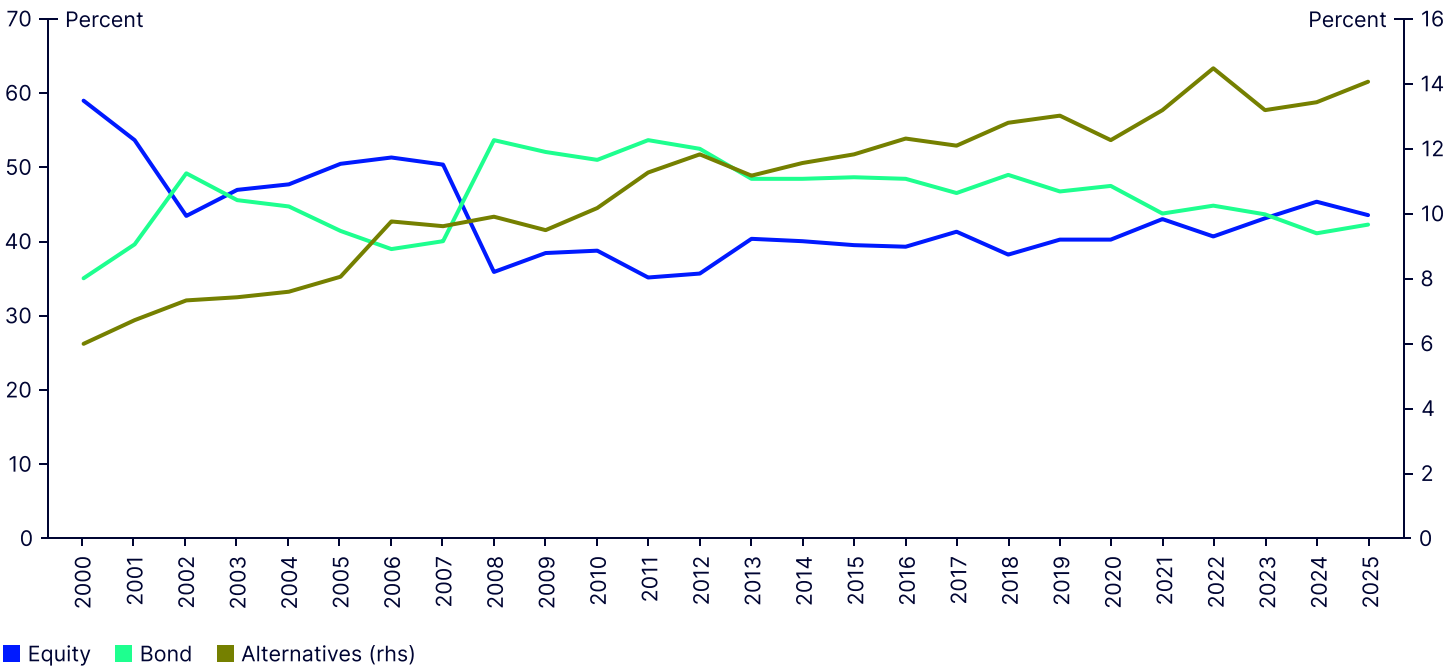
Based on our proprietary capital market assumptions, the medium- to long-term expected return for the GMP is 5.9% on a USD basis. This largely reflects the higher interest rate environment we have been in since the end of 2021, and the positive expected returns from equity investments.

Particularly interesting is the evolution of the weighting of macro asset classes (Figure 2). At the peak of the Dot Com bubble in 2000, the total equity weight had reached an impressive 60%. It has steadily and visibly declined since then, reaching 50% in 2007, and oscillating between 35% and 45% since. In March 2025, the total equity weight was close to 44%. Some of the relative declines could be attributed to the development of other alternative asset classes, as well as the significant issuance of fixed income securities by governments and corporates.

During bear markets and major corrections (2008, 2011, and March 2020), the equity weighting was negatively affected by lower equity prices, and reached the low end of this range. Conversely, and unsurprisingly given their more defensive characteristics, bonds have tended to increase in weight during bear markets, reaching up to 55% during the height of the global financial crisis in December 2008, the eurozone crisis of 2011, and the pandemic in March 2020. As of March 2025, global bonds represented 42% of the GMP, close to the low of the range.

The weighting of alternative asset classes has been steadily increasing, more than doubling in weight to reach 14% in 2025 from 6% in 2000. This notable progress can be attributed to increased investor confidence, along with the maturation of private equity and private credit as industries and the robust performance of specific assets. Most notably, gold has experienced an elevenfold increase in price since 2000.

Figure 2: Equity and fixed income weights have declined from their peaks, while the alt weight has steadily increased



Source: Thompson Reuters, Bloomberg, PreQin, World Gold Council, State Street Investment Management. As of 31 March 2025.

Details on Q1 composition and asset class performance

Equities

In the GMP, equities currently represent the largest asset class, despite some decrease in market cap in Q1 2025 and the decline in the overall weight of equities in the GMP (discussed in the previous section). Sovereign and government-related bonds are the second-largest asset class, with robust issuance driving an increase in bond market cap (Figure 3).

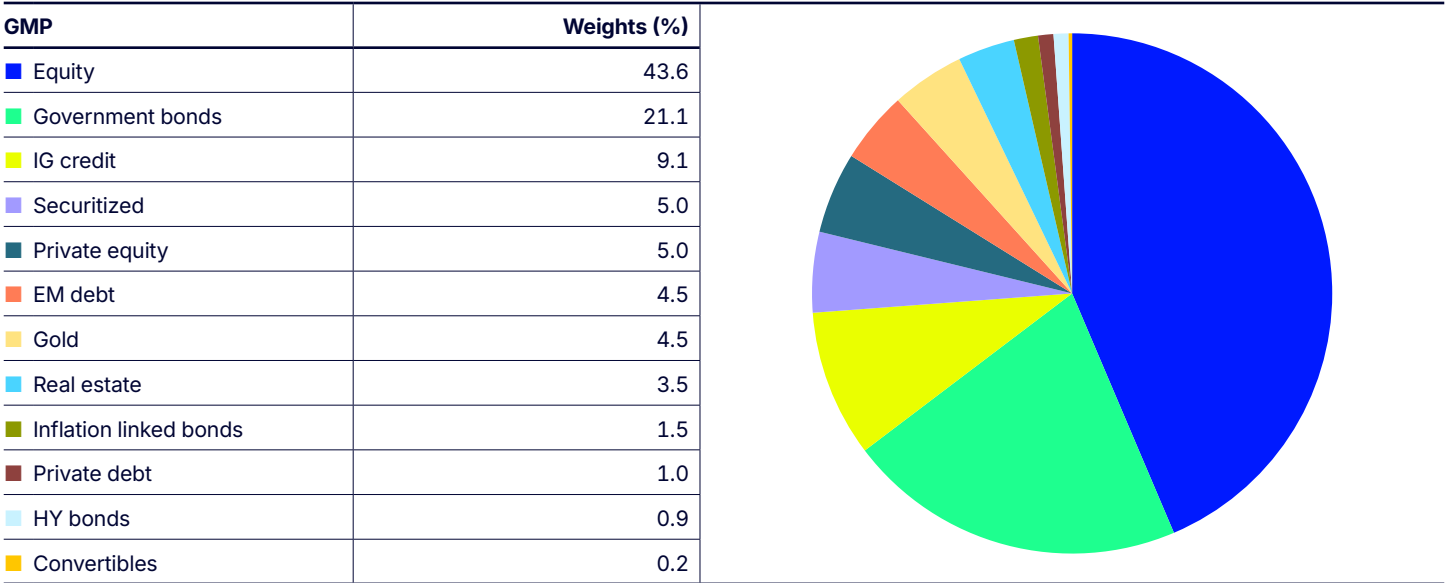
Equities declined in market cap in Q1

US tariffs, rising geopolitical risks, and ongoing inflation have dampened market sentiment. After a strong second half of 2024 with equity market cap exceeding USD 85.2 billion, global equity markets saw sharp volatility in early 2025. At the end of Q1 2025, global equities were valued at USD 83.4 trillion, down 2.2% from Q4 2024 and up slightly 2.9% from June 2024.

The first quarter of 2025 also saw significant sectoral and regional divergences, with non-US markets driving much of the performance in global equities. Eurozone equities surged in the quarter following Germany’s announcement on pro-growth fiscal policies. Emerging European markets benefited from the region’s improved outlook, while Chinese equities rose on optimism about AI and new consumption-boosting stimulus measures.

Meanwhile, US equities faced challenges amid notable declines in the information technology sector, attributed to the impact of DeepSeek disruption. The consumer discretionary sector also weakened, reflecting investor concerns regarding trade tariffs and the Department of Governmental Employment (DOGE)’s proposed public sector job reductions.

Figure 3 : The equity market value was USD 83.4 trillion at Q1 2025



Note: The total GMP was valued at USD 191 trillion as of the end of March 2025. Weights are as of the date indicated, are subject to change, and should not be relied upon as current thereafter. Source: Thomson Reuters, Bloomberg, PreQin, World Gold Council, State Street Investment Management. As of 31 March 2025.

Currently, the global equity market value is more than four times its level during the global financial crisis in 2008, and almost 1.5 times its level during the COVID-19 period (Q4 2020).

The equity weighting of 43.6% for Q1 2025 marked a notable decrease from 45.3% in Q4 2024 (Figure 2).

Lower Issuance detracted from equity market cap in Q1 2025

New issuance accounted for 0.7% of the total equity market capitalization in 2024, marking the second-lowest percentage since 2000. The 2024 trend is similar to those observed in 2022 and 2023 (Figure 4 and 5).

Global equity capital markets achieved a three-year peak of USD 611.3 billion in 2024, primarily driven by follow-on and convertible offerings. In Q4 2024, issuance reached USD 188.4 billion, representing a 47.4% increase from Q3, and marking the highest quarterly total since Q4 2021. Subsequently, activity declined to USD 154 billion in Q1 2025, an 18.2% decrease from Q4, but a 7.7% rise compared to Q1 2024.

In Q1 2025, global initial public offerings (IPOs) rose by 21.8% year-on-year to reach USD 26 billion, making it the strongest opening quarter for global IPOs since 2022. US IPOs contributed USD 7.7 billion, marking a four-year high, while China-domiciled IPOs grew by 13% to USD 3.9 billion compared to Q1 2024.

The United States accounted for a leading 35% share of overall global equity capital market issuance; however, its proceeds declined by 4.2% relative to Q1 2024. Meanwhile, equity issuances in China more than tripled year-on-year in Q1 2025, reaching USD 30.1 billion.

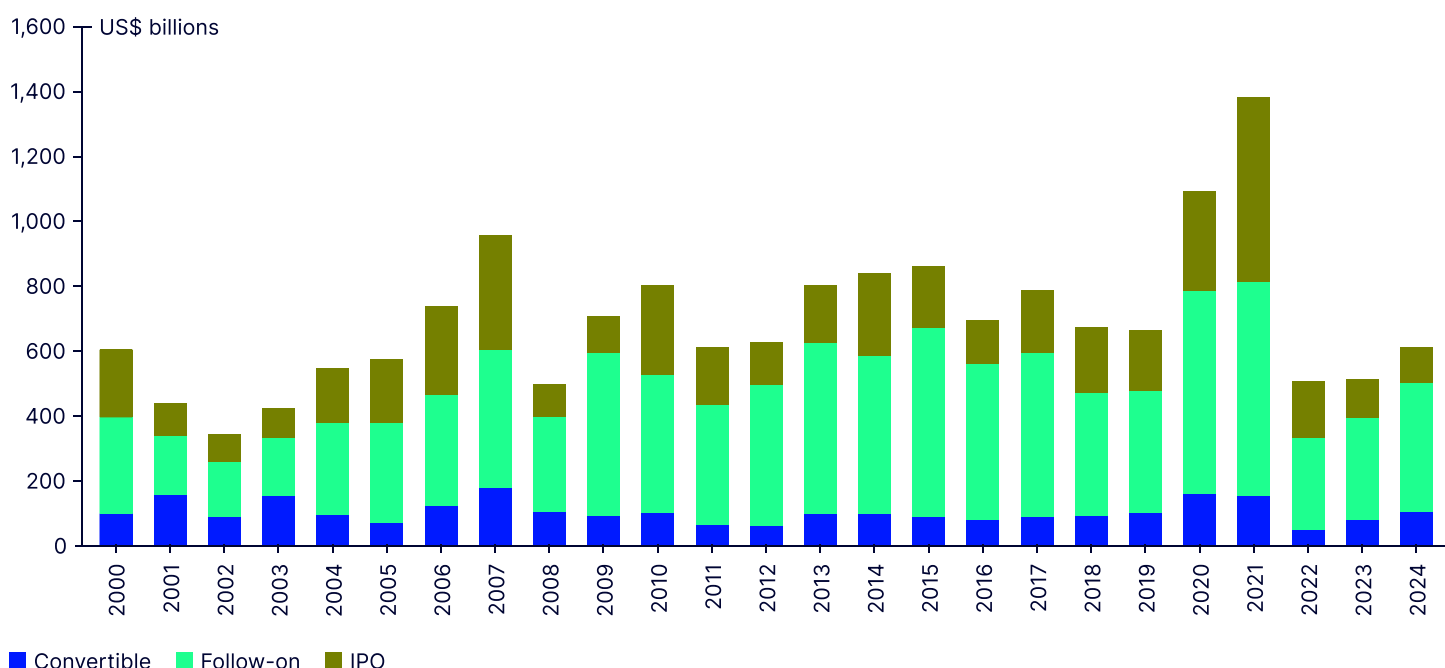
Global follow-on offerings saw a 7.1% year-over-year increase in Q1. By contrast, convertible offerings declined by 2.9% to USD 22.1 billion, the lowest first-quarter level since 2022. The technology, financial, and healthcare sectors collectively constituted over 60% of total convertible issuance during this period.²

Bonds

Bond market cap rose on hefty public supply

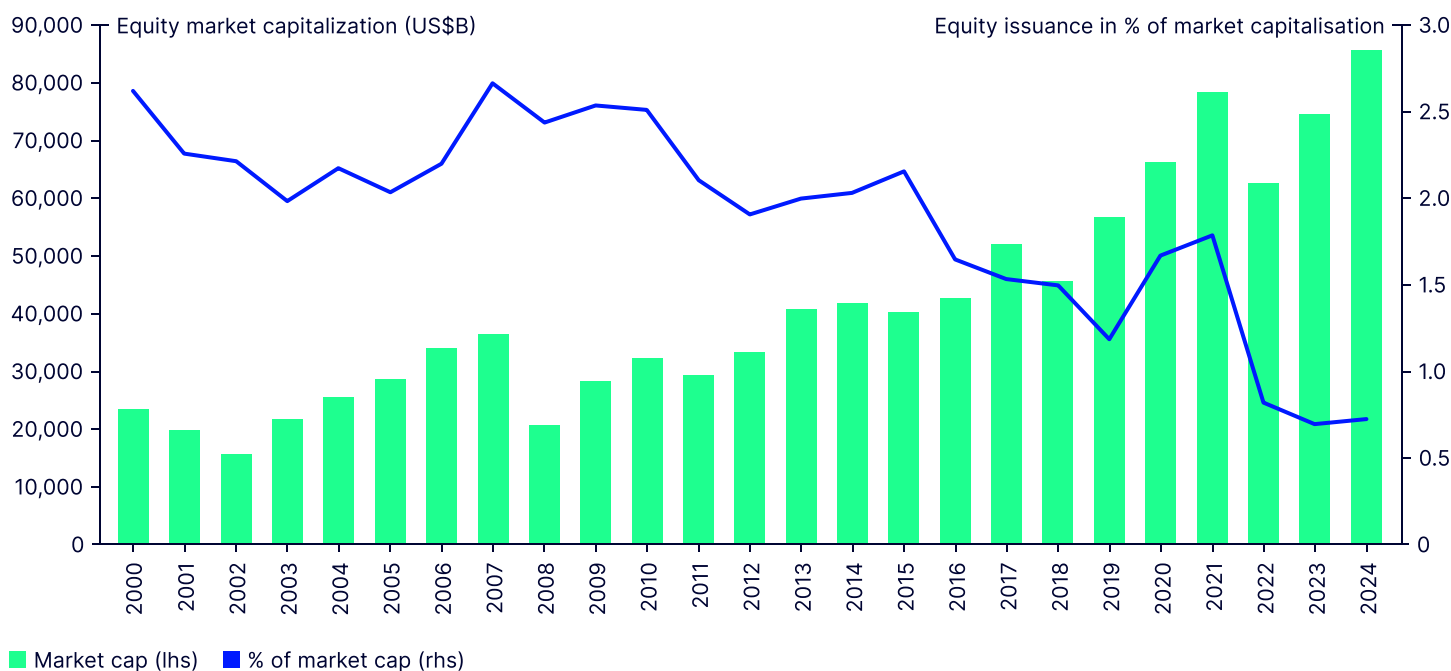
On the bond side, by March 2025, the market value

Figure 4: Equity issuance activity continues to be driven by IPO and follow-on offerings



Source: LSEG, Thompson Reuters, Bloomberg, PreQin, World Gold Council, State Street Investment Management. As of 31 March 2025. Data refers to live transactions.

Figure 5: Annual global equity issuance as percentage of equity market capitalization



Source: LSEG, Thompson Reuters, Bloomberg, PreQin, World Gold Council, State Street Investment Management, as of 31 March 2025. Data refers to live transactions.

of public debt securities rose 4.8% from December 2024, reaching USD 80.9 trillion. Total government bond market cap was USD 40.3 trillion, or 21.1% of the total. This marked an increase of 4.5% for Q1 2025. Meanwhile, investment grade (IG) credit accounted for 9.1%, or USD 17.5 trillion. This was up from USD 16.8 trillion at the end of 2024 .

Global bond markets remained resilient in 2024 amid geopolitical risks and high interest rates, driven by continued sovereign debt issuance to refinance obligations and fund deficits. Debt issuance hit a record USD 10.4 trillion in 2024, up 21.5% from 2023, with strong activity across sectors. New issuance accounted for 13.5% of the total bond market capitalization in 2024, marking the highest level since 2009.

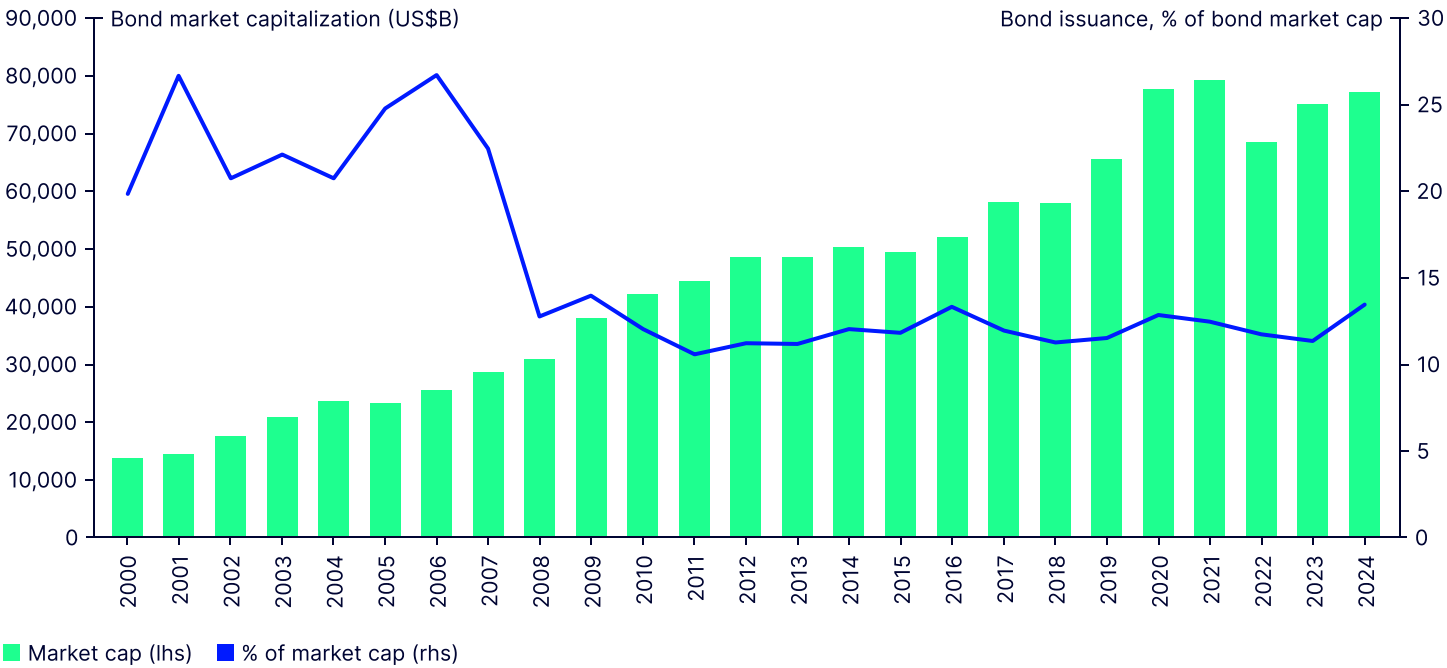
The first quarter of 2025 also saw USD 3.2 trillion in bond issuance—up 8.7% from Q1 2024. That supply was led by agency, supranational, and sovereign offerings totaling USD 1.2 trillion, a 24% increase from

Q1 2024 (Figures 6 and 7).

Investment-grade credit issuance for Q1 2025 was USD 1.5 trillion, down 2.6% from Q1 2024, marking a slow start for corporate debt. High-yield issuance also fell 3% to USD 126 billion. Financial institutions, government entities, and agencies made up 77% of total issuances. Technology, consumer staples, and materials sectors grew robustly, while media, healthcare, and retail saw declines over 40% from Q1 2024 level.³

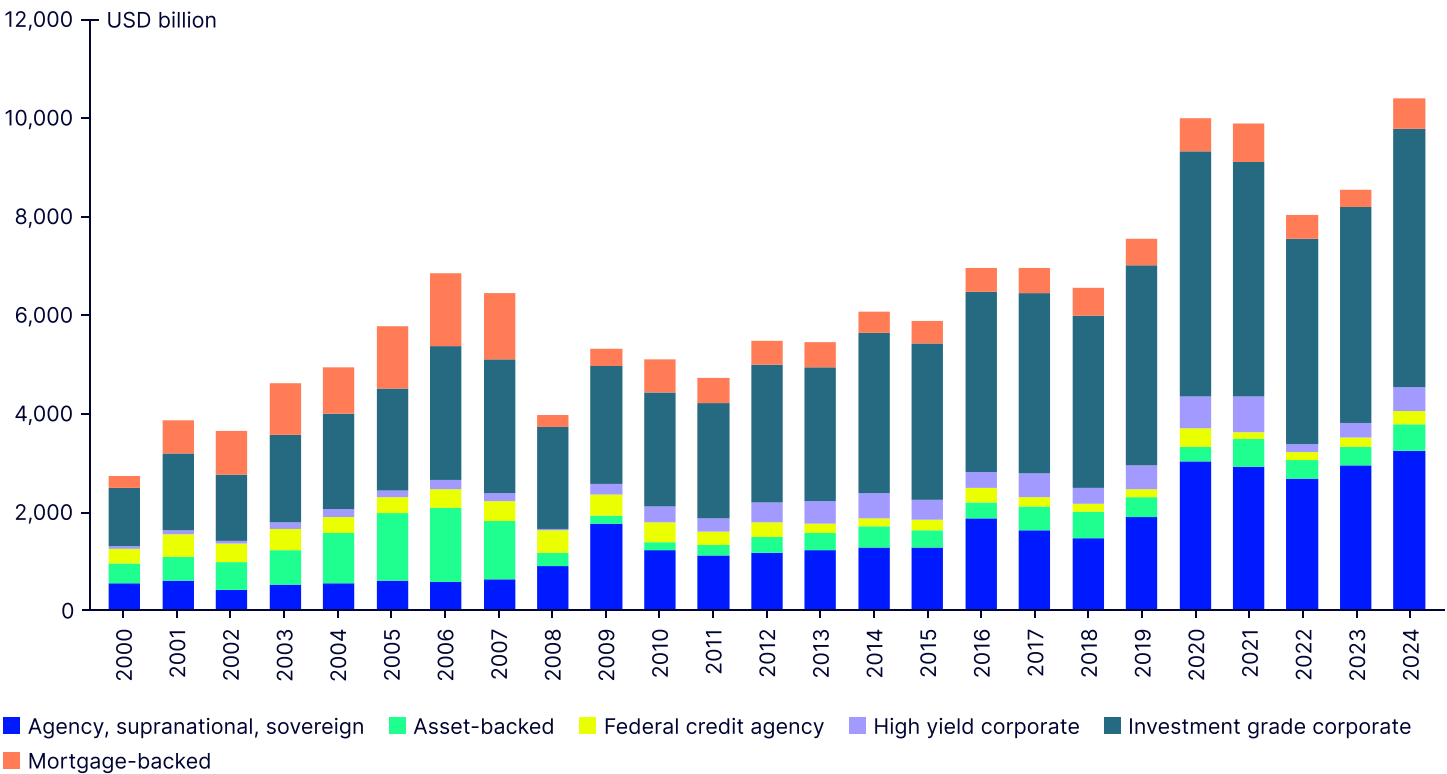
The US accounted for over 25% of total issuance value in Q1 2025. Emerging market corporate issuance also rose robustly by 17% from Q1 2024 to USD 115 billion, led by companies in India, Brazil, Saudi Arabia, and Malaysia.

Figure 6: Issuance boosted bond market cap in Q1 2025



Source: LSEG, Thompson Reuters, Bloomberg, PreQin, World Gold Council, State Street Investment Management, as of March 2025. Data refers to live transactions.

Figure 7: Investment grade corporate and sovereign debt hold the highest share of bond issuance



Source: LSEG, Thompson Reuters, Bloomberg, PreQin, World Gold Council, State Street Investment Management, as of 31 March 2025. Data refers to live transactions.

Alternatives

Alternatives market cap rose

Private debt continued its robust performance in 2024. As of the end of 2024, global private debt totaled USD 1.8 trillion, up 3.1% from 2023. Fundraising recorded USD 197.1 billion, which was 20% lower than 2023, but in line with the 2019 level (Figure 8).⁴

Direct lending continues to be the preferred strategy within private debt, accounting for 60.7% of the capital raised, followed by real estate debt (10.1%), multi-strategy (9.8%), and credit special situations (9.6%). Private equity is currently estimated to represent 1.0% of the GMP, compared to only 0.3% in 2006.

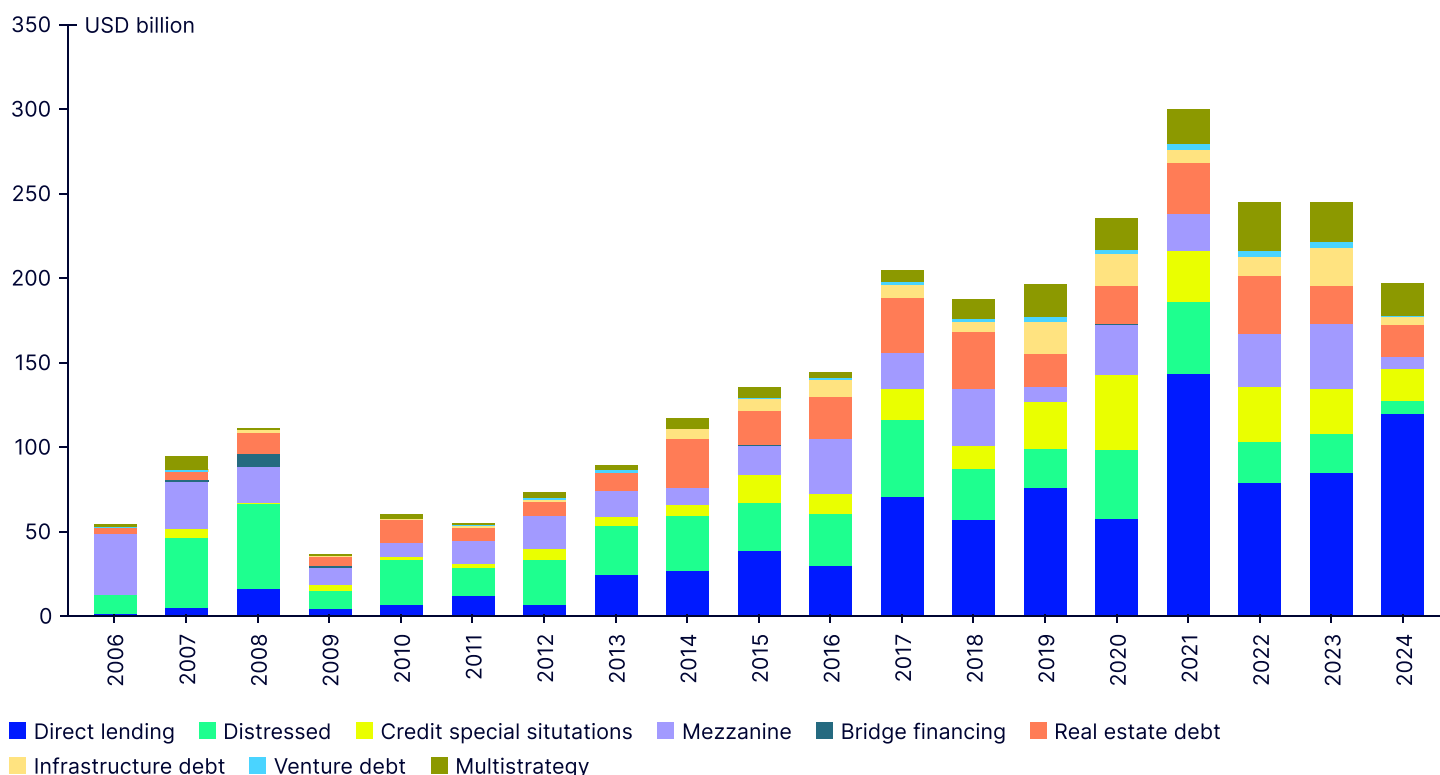
Global private equity markets are still under pressure from market conditions. Their estimated total as of end-2024 was around USD 9.7 trillion, just a 0.4% increase from 2023. This represents the slowest growth rate since 2002. Private equity currently accounts for

an estimated 5.0% of GMP, a decrease from the peak of 5.9% in 2022, but higher than levels observed before the COVID-19 pandemic.

As of the end of March 2025, gold accounted for 4.5% of the GMP, compared to the 3.9% level of 2024. Its total value went up by 19.0% within the first three months of this year, to USD 8.7 trillion, which is its all-time high. Gold's current weighting now is much higher compared to the 3.8% level seen in 2011–12, when central banks were very active in quantitative easing and asset purchase programs in the aftermath of the global financial crisis and the beginning of the eurozone crisis.

Real estate's market value totaled USD 6.8 billion as of end-March 2025, remaining 15% lower than its pre-pandemic December 2019 level. Real estate was estimated to account for 3.5% of the GMP as of end-March 2025, which is the second lowest proportion since early 2000s (after December 2024 of 3.5%).

Figure 8: Fundraising has slowed



Source: Pitchbook, State Street Investment Management.

Return estimates: the GMP's next chapter

As discussed, using proprietary capital market assumptions, the GMP is expected to deliver a nominal return of 5.9% in USD terms over the medium-to-long term, gross of fees and transaction costs. This return comfortably exceeds current and anticipated inflation levels in most advanced economies, with equities and risky debt emerging as the primary contributors (Figure 9).

For investors operating in other base currencies, returns may vary depending on hedging strategies. As of March 2025, the portfolio's estimated volatility stands at 9.0%, and with an expected USD cash return of 3.3%, the ex-ante Sharpe ratio is calculated at 0.3—indicating a reasonable compensation for the risks borne by investors.

Yet, not all investors will find these expected returns sufficient. Those with higher return expectations or unique constraints may need to pursue more aggressive allocations or consider private assets, active security selection, or tactical strategies.

Conversely, institutional investors such as banks or endowments may tailor their portfolios based on liquidity needs and investment horizons, often incorporating short-term bonds or illiquid assets like private equity and private credit.

Figure 9: Risk–return forecasts for the GMP are attractive (USD basis)

	US\$ (billions)	Weights (%)	Annualised return			Intermediate term risk (std dev)
			1 year (%)	3-5 years (%)	10+ years (%)	
Equity	83,375	43.6	7.5	7.5	7.0	14.8
Government Bonds	40,315	21.1	4.3	4.7	4.3	7.1
IG Credit	17,468	9.1	4.9	4.5	4.6	7.4
Inflation Linked Bonds	2,874	1.5	3.9	3.5	3.5	5.6
HY Bonds	1,774	0.9	4.1	5.1	5.4	9.2
EM Debt	8,523	4.5	5.7	6.4	7.7	10.2
Securitized	9,563	5.0	5.1	4.9	4.7	5.4
Convertibles	415	0.2	5.6	5.6	5.6	11.0
Real Estate	6,775	3.5	5.3	6.5	6.3	18.1
Private Equity	9,652	5.0	8.2	8.8	8.3	9.1
Private Debt	1,821	1.0	6.7	6.7	6.7	5.2
Gold	8,676	4.5	2.5	2.5	2.5	15.2
Total	191,232	100.0	6.0	6.2	5.9	9.0

Note: The above forecasts are estimates based on certain assumptions made and analyses run by State Street Investment Management. There is no guarantee that the estimates will be achieved. We have used returns over 10 years as a proxy for 1-year and 3–5-year returns for convertibles, private credit and gold. Source: Bloomberg, Thomson Reuters, PreQin, World Gold Council, FactSet, State Street Investment Management. As of March 31, 2025.

Sources of diversification and risk

In today’s volatile and uncertain investment landscape, diversification has re-emerged as a foundational principle for managing risk and enhancing long-term returns. The strength of the GMP lies not only in its return potential, but also in its inherent diversification.

Diversification is achieved when the combined risk of a portfolio is less than the sum of the risks of its individual components. This is typically measured by comparing the sum of the risk contributions from each asset class with the overall portfolio volatility:

Diversification Benefit = $\sum (w_i \times \sigma_i) - \sigma_p$

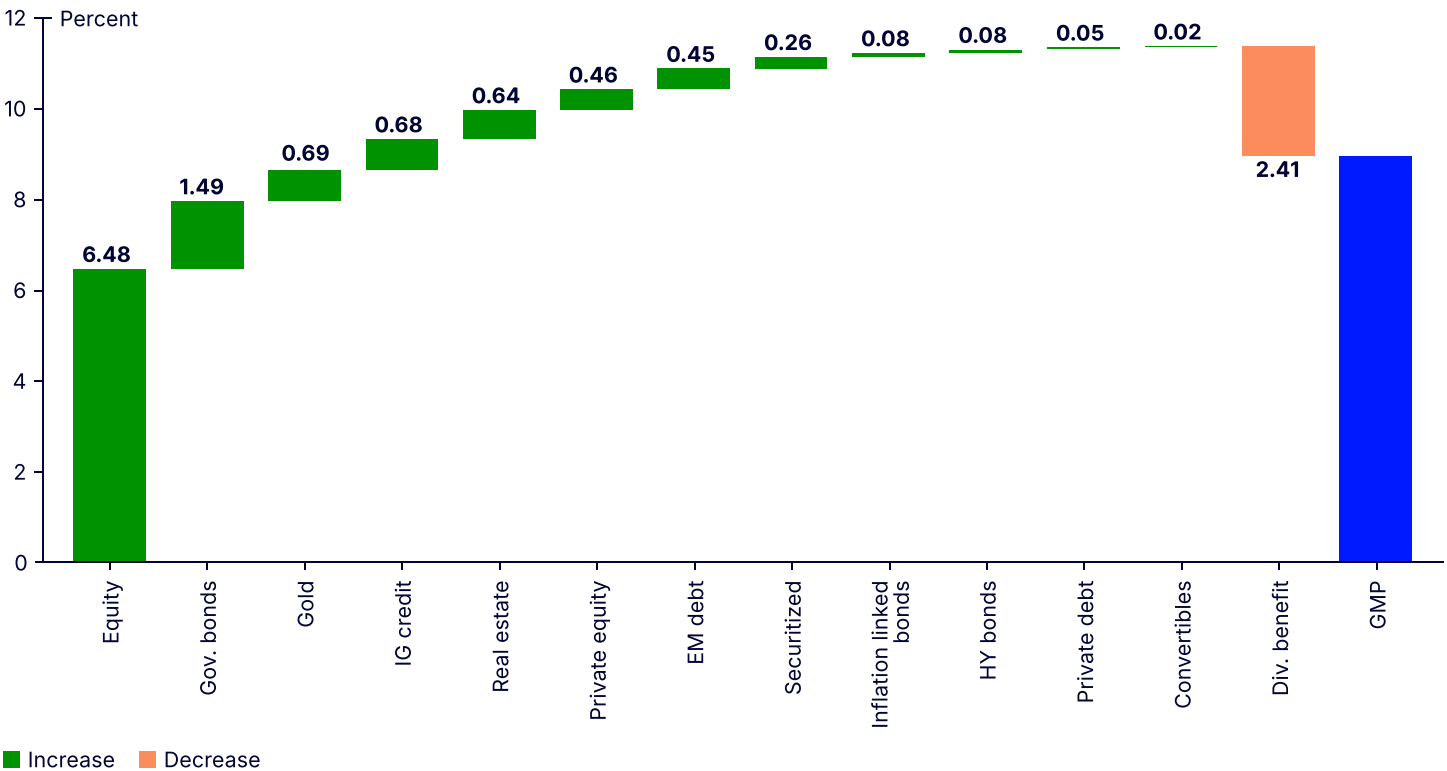
Where:

- w_i = weight of asset i in the portfolio
- σ_i = volatility of asset i
- σ_p = overall portfolio volatility

A higher diversification benefit indicates a more diversified portfolio. This metric complements traditional measures like the Sharpe Ratio, expected risk, and expected return. Assessing the degree of portfolio diversification is vital, but recognizing its origins is equally significant. In uncertain times like these, it is beneficial to examine the individual contributors to diversification within our portfolio and determine if these elements are undergoing any changes. This entails comparing the difference between standalone risk and total risk contribution for each asset. As of March 2025, the GMP demonstrates a significant diversification benefit of 2.41%. If all assets were perfectly correlated, the total portfolio risk would be 11.4%, compared to the actual estimated 9.0% for the GMP—a material and meaningful difference (Figure 10).

Understanding the sources of diversification is just as important as measuring it. Notably, government bonds, gold, and private equity are among the top contributors.

Figure 10: The diversification of the GMP reduces total portfolio risk by 241 bps



Source: Bloomberg, Thomson Reuters, PreQin, World Gold Council, FactSet, State Street Investment Management, as of 31 March 2025.

Government bonds, which make up 21% of the GMP, contribute nearly 30% to this diversification benefit. Meanwhile, alternative investments such as gold, real estate, private equity, and private debt—despite their smaller allocations—collectively contribute over 40% to the benefit (Figure 11). This underscores the strategic value of including less correlated assets in a portfolio.

On the flip side, public equities, while making up 44% of the capital allocation, account for nearly 70% of the total portfolio risk, highlighting the importance of balancing growth potential with risk exposure (Figure 12).

Managing higher equity risk

To manage this risk, investors might consider strategies such as managed-volatility equities, target volatility triggers, or option overlays. Dynamic asset allocation—guided by market regime analysis and tactical outlooks—can also play a key role in both enhancing returns and mitigating risk.

In conclusion, the GMP offers a compelling case for diversified investing. It not only provides a robust return profile, but also exemplifies how thoughtful asset allocation can reduce risk and improve resilience. In an environment where uncertainty is the only constant, diversification remains one of the most effective tools for navigating complexity and achieving long-term investment success.

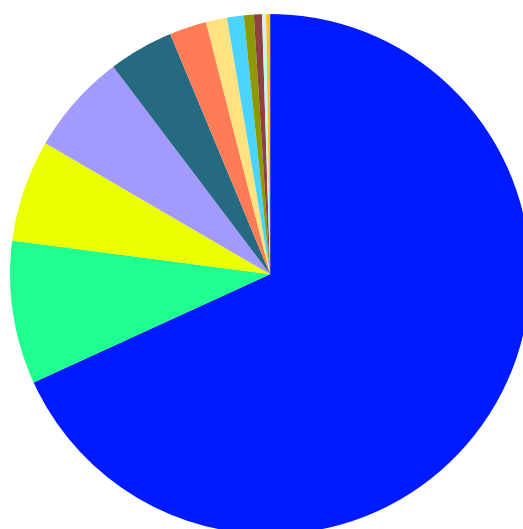
Figure 11: Alternatives act as strong diversifiers

Asset class	Diversification benefit contribution (%)
Government Bonds	0.69
Gold	0.48
Private Equity	0.37
Equity	0.35
Securitized	0.15
IG Credit	0.11
EM Debt	0.09
Real Estate	0.08
Private Debt	0.04
Inflation Linked Bonds	0.04
High Yield Bonds	0.01
Convertibles	0.00
Total	2.41

Source: Bloomberg, Thomson Reuters, PreQin, World Gold Council, FactSet, State Street Investment Management. As of March 31, 2025.

Figure 12: Public equities lag as diversifiers, but contribute a high level of risk

Asset class	Risk contribution (%)
Equity	68.2
Government bonds	8.9
IG credit	6.3
Real estate	6.3
EM debt	4.0
Gold	2.3
Securitized	1.3
Private equity	1.0
HY bonds	0.6
Inflation linked bonds	0.5
Euro HY bonds	0.3
Convertibles	0.2



Source: LSEG, Bloomberg, Thomson Reuters, PreQin, World Gold Council, FactSet, State Street Investment Management. As of March 31, 2025.

Growth in Gulf assets attributable to a capital transformation in the region

The Middle East became part of the global investment opportunity in the 2010s when it was included in several global indices. Since 2019, the Middle East has had growing relevance in the GMP, and it is now important to consider not only public assets, but also private equity and private credit in the region.

We also analyzed the size of sukuk markets across different countries, recognizing it as one of the region’s fastest-growing segments. While the investable market size in the Gulf Cooperation Council (GCC) remains relatively low—due to factors such as high ownership concentration and foreign investment restrictions, the region is undergoing significant economic transformation. These developments are steadily increasing its weight in the GMP and opening up new investment opportunities across sectors and countries.

The Gulf region is still underrepresented

Despite investment advancements in recent years, the size of the investable market remains limited in the Middle East region, particularly in the GCC. The region has the lowest ratio of investable versus total equity market capitalization, at 24% (Figure 13). For perspective, this ratio is 34% for global emerging markets, and 83% for developed markets.

Figure 13: Investable assets in middle east lowest among regions

	Total equity market cap	Investable equity market cap	Ratio, investable vs. total
Total ME	3,950	939	24%
EM	27,002	9,252	34%
DM	89,742	74,123	83%
Global	116,744	83,375	71%

Source: LSEG,Bloomberg, Thomson Reuters, PreQin, World Gold Council, FactSet, State Street Investment Management. As of March 31, 2025.

Several factors contribute to high ownership concentration and limited foreign investment access in certain sectors categorized as strategic. For instance, Saudi Arabia has the largest total equity market capitalization in the region, valued at USD 2.6 trillion as of March 2025, with Aramco accounting for approximately two-thirds of this figure.

As illustrated in Figure 14, Saudi Arabia’s investable market capitalization was USD 373 million, or 15% of the total equity market capitalization of the Middle East as of March 2025, due to the majority of Aramco shares being retained for strategic purposes.

Figure 14: Saudi assets dominate the Middle East Portfolio

	Total equity market cap	Investable equity market cap	Ratio, investable vs. total
Bahrain	15	5.78	40%
Egypt	14	7	51%
Israel	329	241	73%
Jordan	21	4.48	22%
Kuwait	127	80	63%
Lebanon	—	—	—
Morocco	87	19	22%
Oman	21	10.25	49%
Qatar	146	71	49%
Saudi Arabia	2,540	373	15%
UAE	652	127	19%

Source: Thomson Reuters, Bloomberg, PreQin, World Gold Council, State Street Investment Management, as of March 2025.

The Middle East Global Market Portfolio now includes more nontraditional assets

As of March 2025, the combined investable market capitalization of equities, bonds, private equity,

and private debt in Middle Eastern countries stood at USD 2.2 trillion, representing 1.2% of the GMP (Figure 15). This marks a substantial increase from Q4 2019, when the aggregate capital amounted to only USD 677.0 billion.

Figure 15: The market cap in the Gulf region still has room to grow

	Corporate			Government bonds		Quasi-sovereign or agency		Inflation-linked bonds (local + hard cur.)	Total bonds	Sukuk		Equity	Private equity	Private credit	Total
	Local cur.	IG hard cur.	HY hard cur.	Local cur.	Hard cur.	Local cur.	Hard cur.			Local cur.	Hard cur.				
Q12025															
Bahrain	—	0.20	1.40	1.06	24.53	—	4.29	—	31.48	9.31	—	5.78	0.09	0.09	46.76
Egypt	—	1.90	—	13.60	22.80	—	—	—	38.30	—	—	7.10	—	—	45.40
Iraq	—	0.40	0.40	—	1.00	—	—	—	1.80	—	—	—	0.03	—	1.83
Israel	6.44	6.60	17.40	37.78	—	0.08	1.75	102.28	172.32	—	—	241.10	45.90	1.03	460.35
Jordan	—	—	—	8.71	6.03	—	—	—	14.74	—	—	4.48	0.87	—	20.10
Kuwait	0.26	10.30	1.60	—	3.70	—	3.30	—	19.16	4.40	—	80.20	0.09	—	103.85
Lebanon	—	—	—	8.53	2.40	—	—	—	10.93	—	—	—	0.47	—	1.41
Morocco	0.11	—	4.60	47.67	5.70	—	—	—	58.08	—	—	19.30	—	—	77.38
Oman	—	—	1.70	1.30	25.10	—	5.55	—	33.65	5.82	0.20	10.25	0.01	—	49.95
Qatar	0.05	15.20	1.10	2.34	39.60	—	19.12	—	77.41	3.32	3.64	71.20	0.15	—	155.73
Saudi Arabia	0.38	65.20	6.30	—	130.60	—	69.87	—	272.35	70.91	81.7	373.00	16.03	0.18	814.18
UAE	—	53.90	12.40	—	93.00	0.03	76.04	—	235.36	41.60	1.06	127.00	4.56	0.63	410.21
Others	—	—	—	—	—	—	—	—	—	7.50	—	—	11.89	0.24	19.63
Total	7.2	153.7	46.9	121.0	354.5	0.1	179.9	102.3	965.6	142.9	86.6	939.4	80.1	2.16	2,216.80
Q4 2019															
Bahrain	—	—	0.90	—	18.92	—	—	—	19.82	4.87	—	—	0.16	0.10	24.95
Egypt	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Iraq	—	—	0.70	—	3.77	—	—	—	4.47	—	—	—	—	—	4.47
Israel	—	5.00	20.50	—	—	—	—	77.63	103.13	—	—	—	27.04	0.62	130.79
Jordan	—	—	—	—	3.26	—	—	—	3.26	—	—	—	0.43	—	3.68
Kuwait	—	8.20	0.80	—	4.89	—	—	—	13.89	1.03	—	—	0.17	—	15.09
Lebanon	—	—	—	—	7.36	—	—	—	7.36	—	—	—	0.56	—	7.92
Morocco	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Oman	—	—	3.80	—	24.90	—	—	—	28.70	4.18	—	—	0.05	—	32.92
Qatar	—	15.50	0.50	—	41.98	—	—	—	57.98	4.55	—	31.78	0.16	—	94.47
Saudi Arabia	—	13.60	3.00	—	74.86	—	—	—	91.46	23.69	—	88.10	7.40	0.13	210.77
UAE	—	39.50	8.80	—	44.07	—	—	—	92.37	30.50	—	20.51	—	—	143.38
Others	—	—	—	—	—	—	—	—	—	8.44	—	—	—	0.17	8.61
Total	0.0	81.8	39.0	0.0	224.0	0.0	—	77.6	422.4	77.3	—	140.4	36.0	1.02	677.04

Source: LSEG, Thomson Reuters, Bloomberg, PreQin, World Gold Council, State Street Investment Management. As of March 31, 2025.

Issuance activity is on the rise

Equity

Within the broad equity market, the Middle East currently accounts for 1.1% of the global equity market capitalization, compared to 0.7% and 0.2% as of Q2 2024 and Q4 2019, respectively.

The Middle East initial public offering (IPO) market demonstrated resilience in 2024, underpinned by ongoing governmental initiatives across countries such as the UAE, Saudi Arabia, and Oman. IPO proceeds in the region increased to USD 13.0 billion in 2024, representing a 15.0% rise from the USD 11.3 billion recorded in 2023.

Oman has notably witnessed several high-profile IPOs since 2023, including the listing of OQ Exploration and Production SAOG—the exploration and production arm of state-owned energy company OQ—which generated USD 2 billion in capital. This transaction marked the largest IPO in Omani history, and ranked among the most significant offerings in the Middle East during the previous year. This positive trend persisted into 2025,

exemplified by Asyad Shipping, a subsidiary of the Asyad Group, which launched its IPO in early March and successfully raised over USD 330 million (Figure 16).

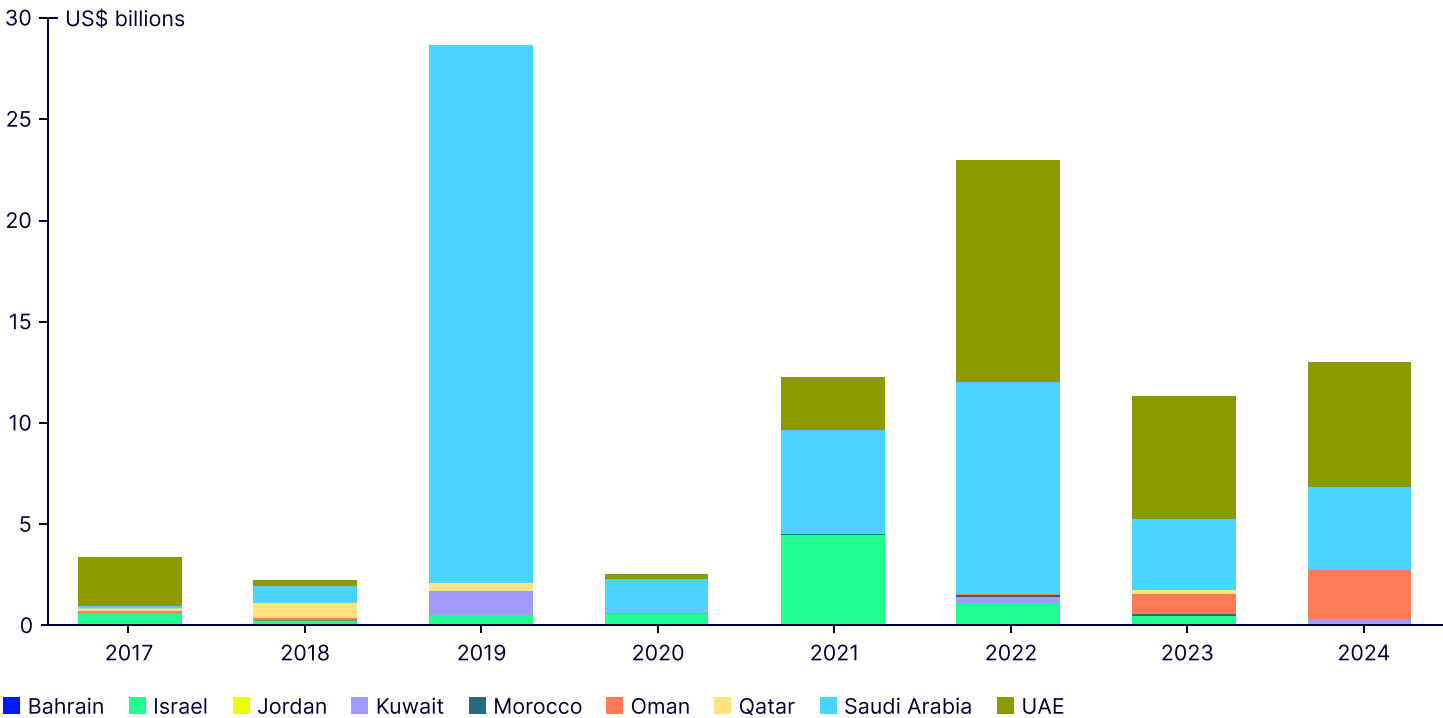
Bonds

Similarly, the Middle East bond market continued to grow robustly in 2024, with Saudia Arabia leading the region in bond issuance. As of March 2025, the bond market reached USD 1.2 trillion, with 19.2% of Middle East countries’ bond market capitalization in sukuk and the rest in traditional bonds. Saudi Arabia accounted for almost 66.5% of the sukuk in the region, followed by UAE with 18.6%, while other countries accounted for the remaining 14.9%.

Government bonds make up the largest share of the Middle East market portfolio, followed by quasi-sovereign and agency securities. Corporate investment grade, inflation-linked, and high-yield bonds make up smaller portions of the total market value (Figure 17).

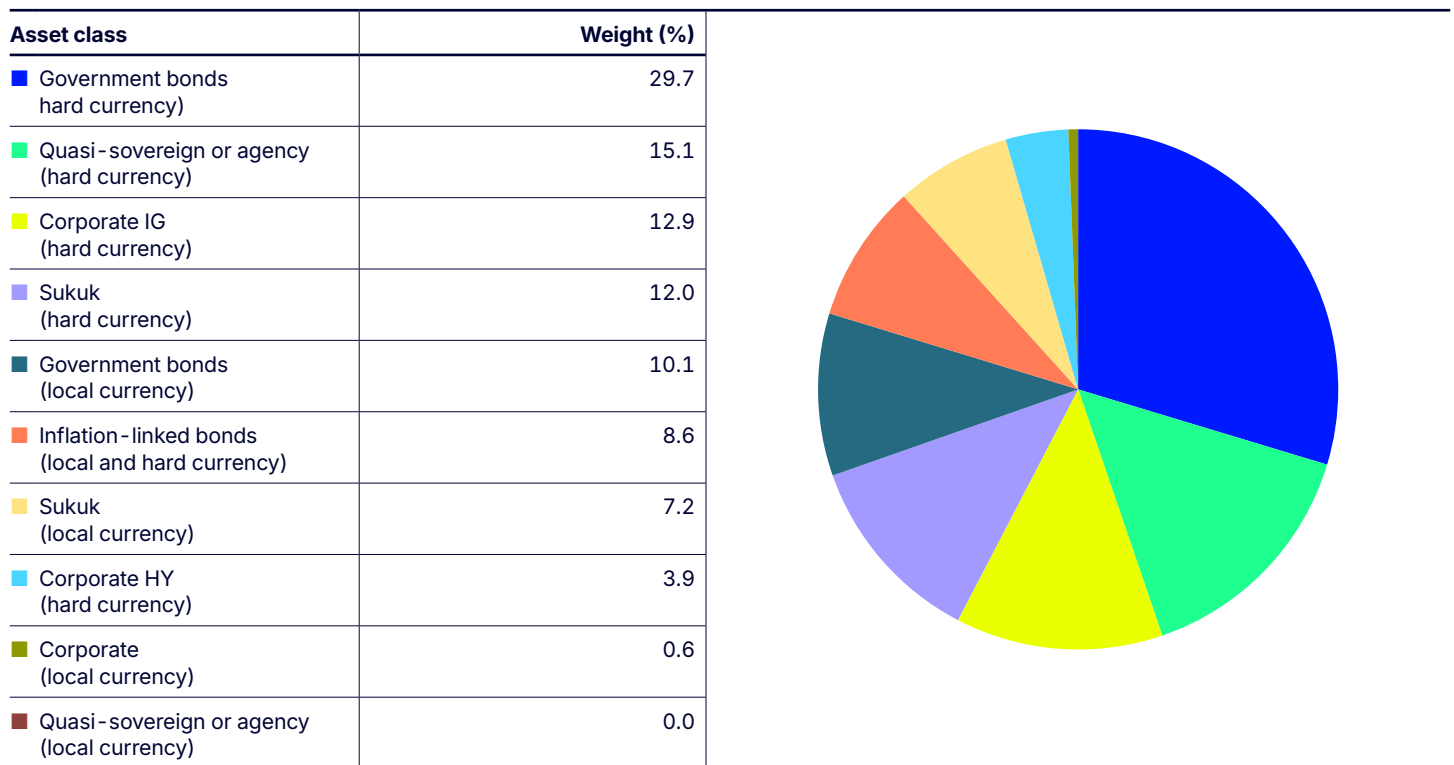
Among individual countries, Saudi Arabia commands the largest share of Middle East bonds at 35.6%, followed by the United Arab Emirates at 23.3%.

Figure 16: A growing IPO market in the GCC has supported the region’s market cap expansion



Source: LSEG Workspace, State Street Investment Management, as of 31 March 2025.

Figure 17: The Middle East bond market has ballooned to USD 1.2 trillion



Source: LSEG, Thomson Reuters, Bloomberg, PreQin, State Street Investment Management. As of 31 March 2025. The chart depicts the bond market in Q1 2025. Value & Weight, with value is in USD Billions).

Alternatives

Alternative investments are gaining importance as the investment landscape evolves. Private equity in the region has generally grown since 2019, with assets under management rising from USD 36.0 billion in Q4 2019 to USD 80.1 billion by Q1 2025. This growth was fueled by both local and international investors, especially in the infrastructure and technology sectors.

The private credit market is harder to quantify due to limited data, but companies increasingly use private debt for financing. By Q1 2025, the private debt market reached an estimated USD 2.2 billion—double its 2019 size—driven mainly by sovereign wealth funds and family offices.

The GCC Investment Proposition

Overall, the Middle East has made substantial progress in expanding its role in global investment markets. From robust IPO activity to the growth of bond and alternative investment markets, the region is becoming increasingly investable. While challenges such as limited market float and regulatory constraints remain, ongoing economic reforms and strategic initiatives are paving the way for future growth. For investors, the Middle East offers a dynamic and evolving landscape with significant long-term potential. For more, see our [Global Market Outlook](#).

More gleam for gold in the GMP

Since Q1 2024, gold has appreciated significantly, with its nominal price achieving an all-time high of USD 3,500 on 22 April 2025, and inflation-adjusted prices surpassing the peak seen during the second oil shock of 1979. This rally in gold has been driven by persistent macroeconomic uncertainties, heightened geopolitical risks, and de-dollarization trends.

From a GMP perspective, this has led to a visible rise of gold's weight to 4.5% of the total GMP in Q1 2025, from just 1.2% when we started to collect the data in 2000 (Figure 18). Importantly, the current weight surpasses the levels observed in 2011–12, a period when central banks were extensively involved in quantitative easing and asset purchase programs in response to the global financial crisis and the onset of the eurozone crisis.

Gold's safe haven status was reinforced in 2025

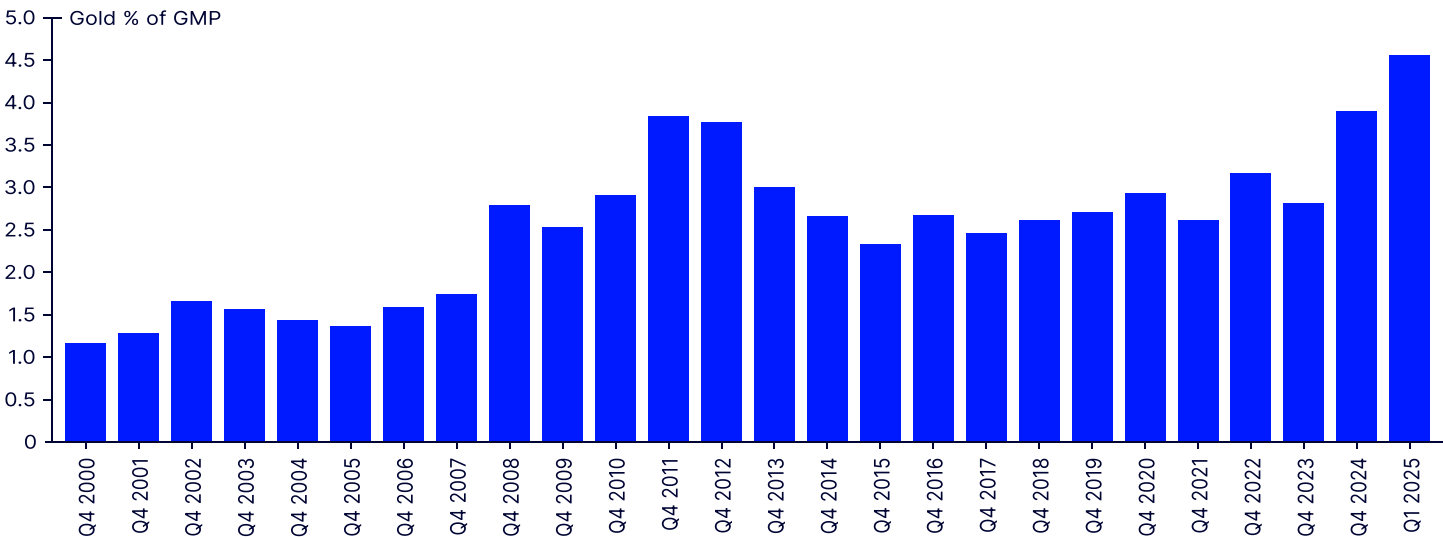
In H1 2025, gold's reputation as a safe haven strengthened, while that of traditionally defensive assets like long-term US Treasury bonds suffered amid deficit worries and prolonged tight monetary policy amid persistent inflation.

Gold reserves held by central banks have reached levels reminiscent of the Bretton Woods era.⁵ This accumulation, reinforced by the recent price appreciation, made gold the second-largest global reserve asset in 2024, after the US dollar. This trend is not expected to stop.⁶

However, this central bank story comes mainly from emerging markets. After 2022, increased global demand—especially from China, influenced by Russia's experience with foreign reserves—has led many EM central banks to diversify their reserves with gold, due to rising geopolitical risks and US Treasury uncertainty. In contrast, developed market central banks have maintained their large gold holdings, unchanged from the gold standard era (Figures 20 and 21).

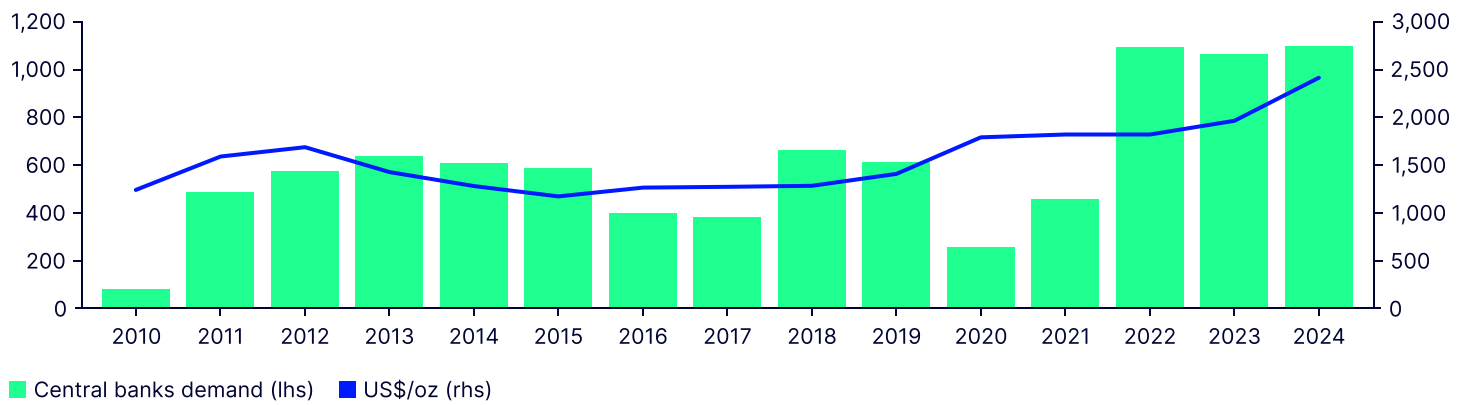
Concerns regarding fiscal sustainability are likely to persist, which may support real assets such as gold. Given the limited efforts by the US and other countries to consolidate their public finances, these concerns are likely to intensify, thereby benefiting gold due to its role as a store of value asset and potential inflation hedge.

Figure 18: Gold's role in the Global Market Portfolio has become much larger since 2024



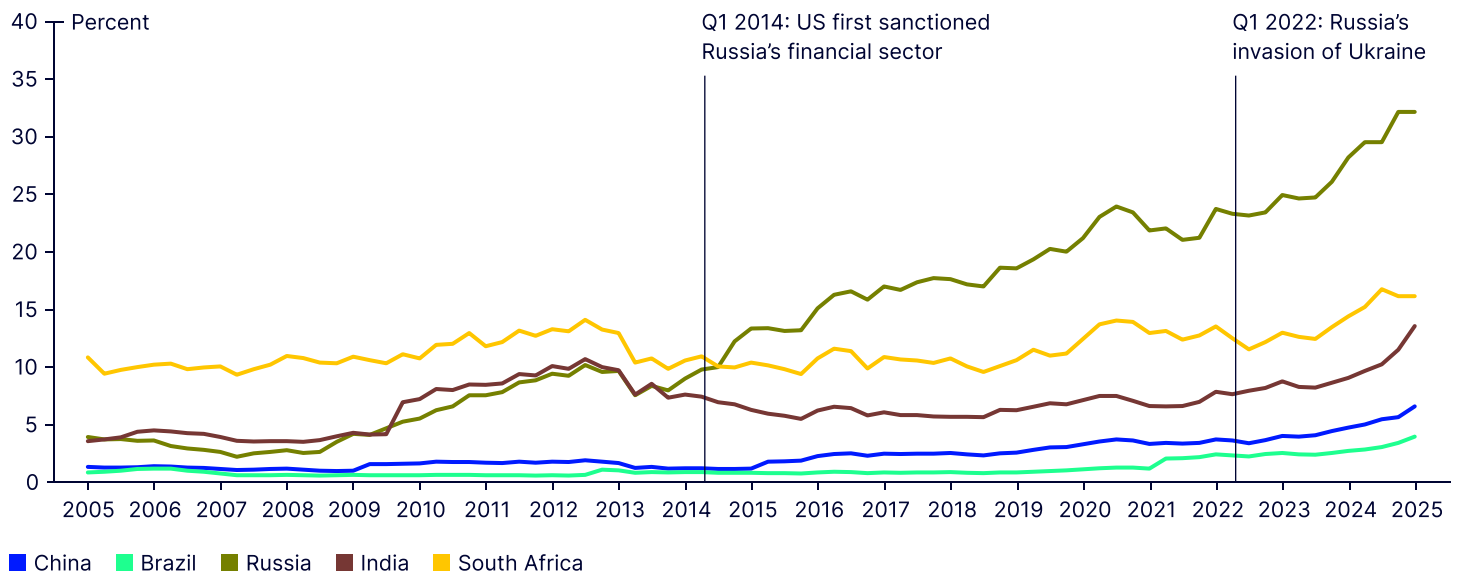
Source: Bloomberg, Thomson Reuters, PreQin, World Gold Council, FactSet, State Street Investment Management. As of 31 March 2025. **Past performance is not a reliable indicator of future performance.**

Figure 19: Central banks have demanded gold at unprecedented levels



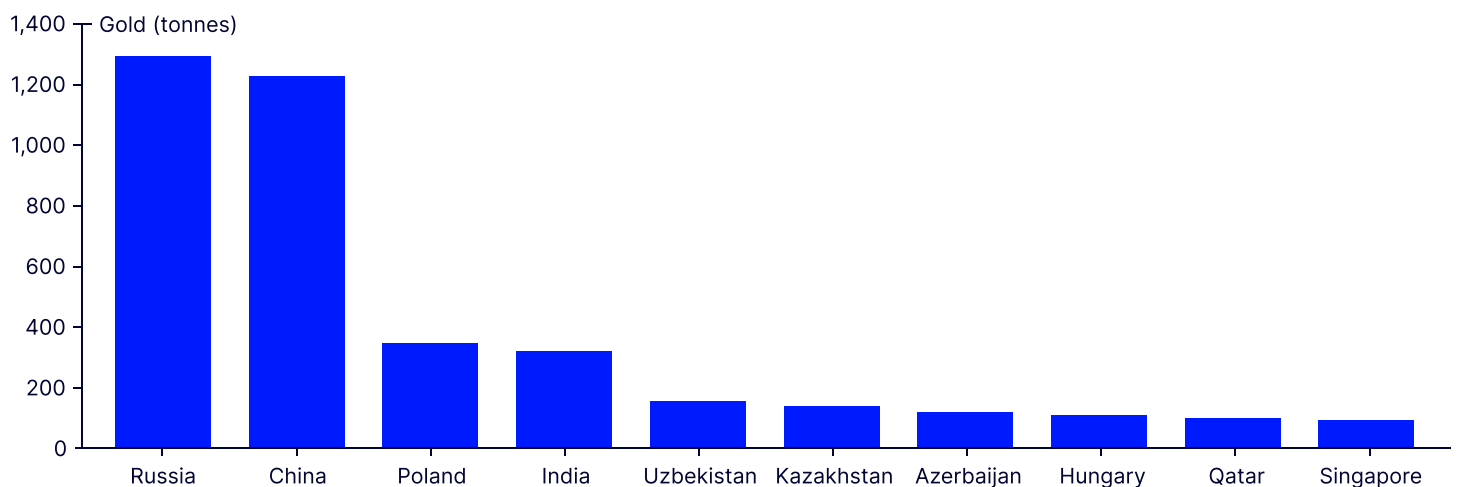
Source: World Gold Council, State Street Investment Management. As of 31 March 2025.

Figure 20: BRICS share of gold has risen



Source: World Gold Council, State Street Investment Management. As of 31 March 2025.

Figure 21: Russia ranks highest among countries adding gold to holdings



Source: World Gold Council, State Street Investment Management. As of 31 March 2025.

Gold ETP inflows have surged on haven demand

Inflows into gold ETPs have significantly accelerated, with total inflows reaching 322 tons as of end-May 2025, representing approximately 10% of total global holdings (Figure 22). This increase has been primarily driven by a 10% rise in US holdings and a 73% surge in Chinese ETF holdings.

Historically, ETF holdings have been influenced mainly by changes in interest rates, as lower rates have enhanced the appeal of non-yielding gold as a risk-free asset. We anticipate that gold's haven and hedging benefits will continue to drive additional ETF demand beyond the traditional influence of falling real yields.

Gold continues to act as a diversifier in the GMP

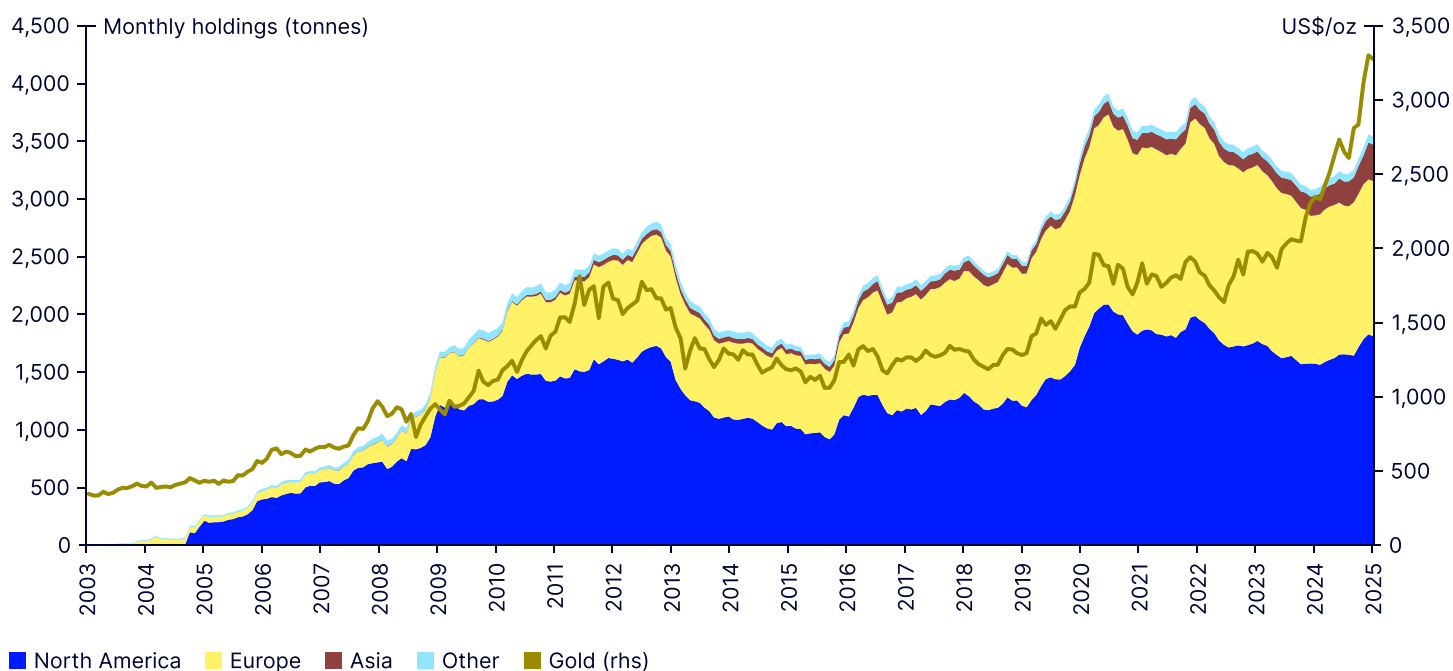
As illustrated by Figures 10-12, gold provides notable diversification benefits within the GMP due to its low correlation with other asset classes. As of March 31, 2025, gold represented approximately 4.5% of the portfolio and contributed over 20% to the total diversification benefits (which amounted to 2.41% for the full portfolio). Gold's diversification benefit ranked second to government bonds (Figure 23).

Key points on gold

- Gold has reasserted its strategic importance in the GMP, reflecting a confluence of macroeconomic, geopolitical, and structural shifts.
- Increased demand from central banks—especially those in emerging markets—combined with rising ETP inflows and growing concerns over fiscal sustainability, have enhanced gold's status from a traditional hedge to a central component of portfolio management.
- With its share in the GMP rising from 1.2% in 2000 to 4.5% in Q1 2025, gold now contributes disproportionately to GMP's diversification benefits.

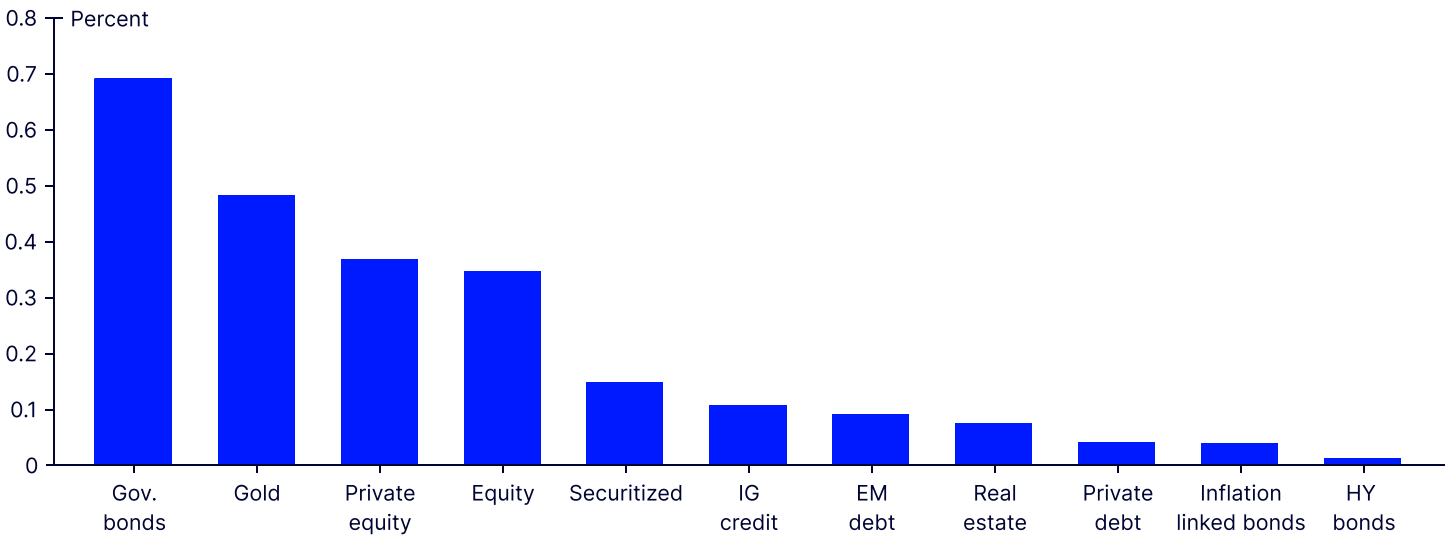
As uncertainties persist, gold's gleam in the global investment landscape appears far from fading.

Figure 22: Gold ETF inflows have soared



Source: World Gold Council, State Street Investment Management. As of 31 March 2025.

Figure 23: Gold is a strong source of diversification within the GMP



Source: Thomson Reuters, Bloomberg, PreQin, World Gold Council, State Street Investment Management. As of 31 March 2025.

The bottom line

As of March 2025, the GMP reached a record USD 191 trillion, with equities, fixed income, and alternatives comprising 44%, 42%, and 14% of the total, respectively. This composition reflects the evolving global investment landscape and the growing accessibility of diverse asset classes.

Looking ahead, equities and bonds are expected to remain supported by steady growth, easing inflation, and anticipated rate cuts. Alternatives—including real estate, private equity, private credit, and gold—continue to offer meaningful diversification and return enhancement. Notably, gold's share in the GMP has risen from 1.2% in 2019 to 4.5% in 2025, contributing over 20% of the portfolio's diversification benefit.

The GMP framework remains a powerful tool for assessing the global opportunity set and guiding strategic asset allocation. With an expected return of 5.9%, volatility of 9.0%, and a Sharpe ratio of 0.3, it offers a balanced risk–return profile. Investors seeking higher returns may consider more aggressive allocations toward higher-risk premia assets and active strategies where alpha can be captured efficiently.

In response to market evolution, we have begun exploring the role of cryptocurrencies and plan to share our findings in the 2026 GMP publication. As the investment environment continues to shift, the GMP stands as a resilient, data-driven benchmark for long-term portfolio construction.

Appendix: The history of the Global Market Portfolio

The idea of a was originally proposed by James Tobin in 1958 and subsequently refined by William Sharpe in 1964 to become a cornerstone of the modern portfolio theory.

Because it includes all asset classes and securities, the GMP is exposed only to the systematic risks associated with its multi-asset components—and provides tangible diversification benefits to investors. This idea has shaped the asset management industry, playing a crucial role in the formation of concepts of asset allocation and the Capital Asset Pricing Model.

In 2014, an important research article presented the methodology for a Global Multi-Asset Market Portfolio, an aggregate portfolio of the market as a whole, containing all types of investable assets available globally.⁷ What was at the beginning a cornerstone of the Modern Portfolio Theory over time became a tangible investment reality: Over 90% of the aggregate market portfolio's exposure and composition can now be accessed by all categories of investors using easily tradable financial instruments and exchange-traded products.

Endnotes

- 1 The World Gold Council estimated that approximately 216,265 tons of gold had been mined over the course of human history until the end of 2024. Excluding gold used for jewelry and manufacturing, we find that about 40% of the total gold stock serves as a store of value and qualifies for inclusion in the GMP.
- 2 LSEG, Global Equity Capital Markets, Q1 2025.
- 3 LSEG, Global Debt Capital Markets, Q1 2025.
- 4 Pitchbook, Global Private Debt Report, 2024.
- 5 The 1944 Bretton Woods Agreement established a system of fixed exchange rates centered on the U.S. dollar and gold.
- 6 Post-Pandemic Normal of Central Bank Reserve Management
- 7 Doeswijk, R., Lam, T., & Swinkels, L. (2014), "The Global Multi-Asset Market Portfolio, 1959–2012," Financial Analysts Journal, 70(2).

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Generally, among asset classes, stocks are more volatile than bonds or short-term instruments. Government bonds and corporate bonds generally have more moderate short-term price fluctuations than stocks, but provide lower potential long-term returns. U.S. Treasury Bills maintain a stable value if held to maturity, but returns are generally only slightly above the inflation rate.

Bonds generally present less short-term risk and volatility than stocks, but contain interest rate risk (as interest rates rise, bond prices usually fall); issuer default risk; issuer credit risk; liquidity risk; and inflation risk. These effects are usually pronounced

for longer-term securities. Any fixed income security sold or redeemed prior to maturity may be subject to a substantial gain or loss.

International Government bonds and corporate bonds generally have more moderate short-term price fluctuations than stocks, but provide lower potential long-term returns.

Investing in commodities entail significant risk and is not appropriate for all investors. Commodities investing entail significant risk as commodity prices can be extremely volatile due to wide range of factors. A few such factors include overall market movements, real or perceived inflationary trends, commodity index volatility, international, economic and political changes, change in interest and currency exchange rates.

Investing in foreign domiciled securities may involve risk of capital loss from unfavorable fluctuation in currency values, withholding taxes, from differences in generally accepted accounting principles or from economic or political instability in other nations.

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Investing in REITs involves certain distinct risks in addition to those risks associated with investing in the real estate industry in general. Equity REITs may be affected by changes in the value of the underlying property owned by the REITs, while mortgage REITs may be affected by the quality of credit extended. REITs are subject to heavy cash flow dependency, default by borrowers and self-liquidation. REITs, especially mortgage REITs, are also subject to interest rate risk (i.e., as interest rates rise, the value of the REIT may decline).

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